

26STCP01163 26STCP01163

County: los-angeles

Division: Civil Law and Motion

Department: 735

Hearing date: 2026-06-24

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Case Number: 26STCP01163 Hearing Date: June 24, 2026 Dept: 735

Schild v. Floyd, et al.

Plaintiff's Motion for Preliminary Injunction

BACKGROUND

On March 23, 2026, Plaintiff Walter Schild

filed a complaint against Defendants David Ryan Floyd and RW2, LLC, asserting

causes of action for (1) breach of fiduciary duty; (2) constructive fraud; (3)

fraud and concealment; (4) breach of contract; (5) breach of implied covenant

of good faith and fair dealing; (6) accounting; (7) conversion; (8) money had

and received; (9) declaratory relief; and (10) UCL violations.

Plaintiff, an assignee of entity Dilson &

Walter, LLC ("D&W"), alleges D&W is a 40% shareholder and Defendant

Floyd is a 60% shareholder of Defendant RW2, LLC. RW2 operates a restaurant and

bar called 33 Taps Silverlake. Plaintiff alleges that Floyd wrongfully removed

D&W as a 40% shareholder on tax documents beginning in 2023 and failed to

pay D&W distributions thereafter. Plaintiff also alleges that Floyd has made distributions of funds from RW2 for personal use, wrongfully paid himself and entities he controls, and engaged in misconduct relating to loans.

On May 13, 2026, Floyd filed a cross-complaint against Dilson & Walter, LLC, Walter Schild, 33 Taps, LLC, Meco Properties, LLC, Culinary Lab Partners, LLC and Soprano Hollywood, LLC, asserting causes of action for (1) breach of contract; (2) breach of fiduciary duty; (3) aiding and abetting breach of fiduciary duty; (4) conversion; (5) theft; (6) quantum meruit; (7) constructive trust; and (8) accounting.

LEGAL STANDARD

In deciding whether to issue a preliminary injunction, the court looks to two factors: (1) the likelihood that the petitioner will prevail on the merits, and (2) the relative balance of harms that is likely to result from the granting or denial of interim injunctive relief. The factors are interrelated, with a greater showing on one permitting a lesser showing on the other.

DISCUSSION

Plaintiff moves for a preliminary injunction restraining Floyd and RW2 from making insider distributions, unauthorized member loans, non-distribution payments (including guaranteed payments and member tax payments), and non-arm's-length related-party transfers pending

trial, while expressly preserving RW2's ordinary business operations. The injunction also seeks to declare D&W a 40% member of RW2. Plaintiff argues preliminary injunctive relief is necessary to preserve the status quo of RW2's business operations. Plaintiff asserts monetary damages are an inadequate remedy for the ongoing harm Floyd is inflicting on D&W's interest in RW2.

In opposition, Defendant Floyd argues that this preliminary injunction would essentially require 33 Taps to cease operations. Defendant asserts that the restriction on transfers of funds "to any member or manager, including Floyd, or to any entity owned, controlled, or managed by any member or manager of RW2, other than arm's-length payments in the ordinary course of RW2's own business for goods or services actually received by and for the benefit of RW2" will prevent the restaurant from paying its administrative services company, Eat Drink Hospitality, LLC ("EDH"). Defendant Floyd is a member of EDH and EDH manages RW2's operations by staffing the restaurant; ordering food, liquor and supplies; restaurant advertising; supervising RW2 day-to-day expenditures; managing the restaurant's operating account; maintaining RW2's financial books and records; managing the restaurant's compliance with applicable health and safety; and procuring and maintaining RW2's licenses and permits.

Defendant

also argues that the preliminary injunction would function as an adjudication of disputed facts in this action and give Plaintiff control over RW2's operations. The injunction seeks to prevent Defendant from altering, modifying or making "any internal company record, tax filing, or ownership-related filing that is inconsistent with RW2's 2016–2022 treatment of D&W as a 40% member, pending final adjudication of this action or further order of the Court."

Defendant disputes that D&W is a member of RW2 and treating it as a member would give it power of RW2's operations.

Lastly,

Defendant asserts Plaintiff has not met his evidentiary burden to show that D&W is a member of RW2 or that Plaintiff has received an assignment of rights from D&W because Plaintiff does not properly authenticate RW2's bank records, tax records or the assignment. (All other evidentiary objections are preserved.)

The

Court declines to issue a preliminary injunction. The proposed injunction would require a preliminary adjudication of the main issue of this action (D&W's membership interest) and could potentially halt operations of the restaurant by interfering with distributions to its management services company. Plaintiff asserts that the restriction on distributions to Floyd-related entities would

not preclude Floyd from making distributions to EDH that are made in the ordinary course of business while at the same time arguing that the historical payments to EDH have been inflated and wrongful. Placing restrictions on distributions of funds will alter the status quo, not maintain it. Similarly, Plaintiff concedes that RW2 has not listed D&W as a member on tax and bank documents since 2022 but requests the Court declare D&W a member. This again would alter the status quo, not maintain it. Lastly, the alleged injuries suffered are financial and capable of redress via monetary damages.

CONCLUSION

The Court denies Plaintiff's motion for preliminary injunction.

Plaintiff shall give notice.